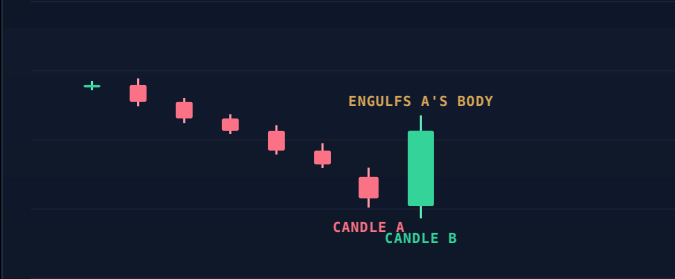


◆STRATEGY GUIDE 15 / 20 · CANDLESTICK PATTERN

Engulfing Candle

One candle completely swallows the one before it. A single-session shift in control — if the context around it earns your attention.

FIG. 1 – CANDLE B'S BODY FULLY ENGULFS CANDLE A'S



PATTERN TYPE

Two-candle reversal signal

DIRECTIONAL BIAS

Against the preceding move

TYPICAL READ TIME

7 min

WORKS BEST ON

After a clear preceding move

01 What It Is

An engulfing candle is a two-candle pattern where the second candle's body completely covers the body of the first, in the opposite color. A **bullish engulfing** pattern appears after a decline: a down candle is followed by an up candle whose body fully covers it. A **bearish engulfing** pattern appears after an advance: an up candle is followed by a down candle whose body fully covers it.

Only the *bodies* need to be compared — wicks extending beyond the engulfing candle's body on either side don't disqualify the pattern. What matters is that the second candle's open and close fully bracket the first candle's open and close.

02 Why It Works

The pattern shows one side completely overpowering the other within a single session, reversing the entire net move of the prior candle. That's a sharp, visible shift in short-term control: whichever side had been winning just got fully overrun in the space of one session, which many traders read as an early signal that the balance of power has changed.

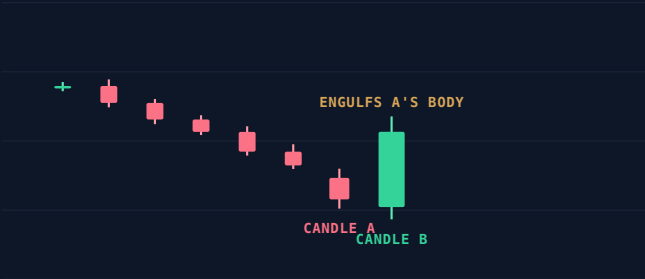
The strength of that signal depends heavily on context. An engulfing candle appearing after a clear, established move — where there's an actual prevailing direction to reverse — carries real information. The same shape appearing in the middle of a flat, directionless, low-volatility stretch means much less, since there was no meaningful "control" being overpowered in the first place.

03

Two Variations

BULLISH ENGULFING

LONG BIAS



Appears after a decline — a down candle followed by an up candle whose body fully covers it, suggesting buyers have overrun the prior session's sellers.

BEARISH ENGULFING

SHORT BIAS



Appears after an advance — an up candle followed by a down candle whose body fully covers it, suggesting sellers have overrun the prior session's buyers.

04

How To Trade It

FILTER	WHAT TO CHECK
Preceding move	Look for engulfing candles after a clear move, not in the middle of a flat, low-volatility stretch
Volume	An engulfing candle on above-average volume carries more weight than one on quiet volume
Relative size	A large engulfing candle relative to recent candles is a stronger signal than a marginal one
Next-candle confirmation	Waiting to see whether the following candle actually confirms the shift reduces false signals, at the cost of a slightly later entry

Entry. Two common approaches: enter on the next candle's open, accepting the pattern at face value, or wait for a break of the engulfing candle's extreme — its high for a bullish signal, its low for a bearish one — for extra confirmation before committing.

Stop. Placed beyond the engulfing candle's opposite extreme — below its low for a bullish signal, above its high for a bearish one — since a move back through that level would undercut the very reversal the pattern claimed to show.

05 Worked Example (Fictional)

The figures below are entirely made up, for illustration only — not a real security or historical trade.

Fictional stock "HLNX" declines steadily for eight sessions from \$34 to \$27.80. On the ninth session it closes down again at \$27.20 on ordinary volume. The following session opens at \$27.00, dips briefly, then rallies to close at \$28.40 — a body that fully covers the prior candle's — on volume 2.3x the recent average.

A trader waiting for confirmation enters on the next session's move above \$28.40, filling at \$28.65, with a stop at \$26.90 (just below the engulfing candle's low) — about \$1.75 of risk per share. Using the prior eight-session decline's range as a rough guide, a first target near \$32.50 offers roughly 2.2:1 reward-to-risk.

06 Common Mistakes

- Trading every engulfing candle regardless of context — they are common, and most do not lead to a real reversal.
- Ignoring the size of the engulfing candle relative to recent candles; a marginal engulf carries much less weight than a decisive one.
- Entering immediately without waiting to see whether the next candle actually confirms the shift.
- Treating an engulfing candle inside a flat, low-volatility stretch the same as one after a clear, established move.

Engulfing Candle — Cheat Sheet

STRUCTURE

Second candle's body fully covers the first, opposite color

CONTEXT

Needs a preceding move to reverse — not open, flat space

CONFIRM

Above-average volume strengthens the signal

ENTRY

Next candle's open, or a break of the engulfing candle's extreme

STOP

Beyond the engulfing candle's far extreme

WATCH OUT

Most engulfing candles do not lead to a real reversal